

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-17

SAMSUNG ELECTRONICS AMERICA, INC.,
Complainant,

v.

ORIENT OVERSEAS CONTAINER LINE, LIMITED AND OOCL
(EUROPE) LTD.
Respondents & Third-Party Complainants

v.

SAMSUNG ELECTRONICS COMPANY, LTD.,
Third-Party Respondent.

COMPLAINANT'S MOTION TO DISMISS
RESPONDENTS' AMENDED COUNTERCLAIM

Complainant Samsung Electronics America, Inc. ("Complainant" or "SEA"), by its undersigned attorneys, respectfully submits this Motion to Dismiss the Respondents' Amended Counterclaim of Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively, "OOCL" or "Respondents"). The Amended Counterclaim fails to allege facts sufficient to establish a claim under 46 U.S.C. § 41102(a).

SUMMARY

As set out more fully below, SEA initiated this proceeding to seek reparations, consisting primarily of reimbursement of demurrage and detention charges imposed by OOCL in connection with shipments carried by OOCL on store-door terms. Following OOCL's initial motion to dismiss the Complaint, the Administrative Law Judge ("ALJ") determined that the counts set out in the operative Amended Complaint are facially valid. In response, OOCL brought a

counterclaim, alleging that the very act of initiating a proceeding with facially valid claims to recover improper charges was itself a violation of the Shipping Act's prohibition against obtaining ocean transportation at less than applicable rates through "unjust or unfair means."

The ALJ rejected that contention, as did the Federal Maritime Commission (the "Commission") on appeal. The Commission ultimately permitted OOCL to attempt to state a plausible claim through an amended counterclaim, while expressing skepticism that it could do so.

OOCL's Amended Counterclaim has confirmed the wisdom of that skepticism. While no longer expressly based on SEA's initiation of a proceeding before the Commission, OOCL's allegations in its Amended Counterclaim are still premised on the same insufficient basis as those in the Original Counterclaim that were found by the Commission to fail to state a plausible claim.

For the reasons set forth below, the Amended Counterclaim fails to state a claim under 46 U.S.C. § 41102(a) and should be dismissed with prejudice.

BACKGROUND

1. *Procedural History*

On March 28, 2024, Complainant filed its Verified Complaint (Doc. 1) against OOCL asserting that Respondents, as ocean common carriers subject to the Commission's jurisdiction, had engaged in a pattern of conduct in violation of the Shipping Act of 1984, 46 U.S.C. § 40101, *et. seq.* (the "Shipping Act").

On May 13, 2024, Respondent moved to dismiss the Complaint (Doc. 10). On November 18, 2024, the Presiding Officer, Administrative Law Judge ("ALJ") Chintella, granted the Motion to Dismiss with respect to the Complaint's Count II (Violations of 46 U.S.C. §§ 41104(a)(3) and 41102(d) – Retaliation) and Count III (Violations of 46 U.S.C. § 41104(a)(10) – Refusal to Deal). However, the ALJ denied the Motion with respect to the remaining Counts, finding that the Counts below state facially valid claims against OOCL:

- Count I (Violations of 46 U.S.C. § 41102(c) – Unjust and Unreasonable Practices);
- Counts IV (Violations of 46 U.S.C. § 41104(a)(15) – OSRA – Invoices without Information);
- Count V (Violations of 46 U.S.C. § 41104(a)(14) – OSRA – Unreasonable Charges); and
- Count VI (Violations of 46 U.S.C. § 41102(c) – Unjust and Unreasonable Dispute Resolution Practices).

(Doc. 16).

On December 2, 2024, Complainant filed its Amended Complaint (Doc. 17), and on December 12, 2024, Respondents filed their Verified Answer to the Amended Complaint (Doc. 19). That filing included a counterclaim against SEA alleging a violation of 46 U.S.C. § 41102(a) (the “Original Counterclaim”).

On January 6, 2025, SEA moved to dismiss the Original Counterclaim. (Doc. No. 26). ALJ Chintella granted dismissal of the Original Counterclaim on March 31, 2025 (Doc. 38). Respondents timely appealed to the Commission on April 16, 2025 (Doc. 41). On July 30, 2025, the Commission affirmed the ALJ’s dismissal of OOCL’s Counterclaim but permitted OOCL to amend its counterclaim in light of the high standard for dismissals of claims with prejudice (Doc. 66 at 20-22). On August 13, 2025, Respondents subsequently filed their Amended Counterclaim (Doc. 69).

2. *Dismissal of Respondents’ Original Counterclaim*

a. The ALJ’s Order Granting SEA’s Motion to Dismiss the Original Counterclaim

The gravamen of OOCL’s Original Counterclaim was that SEA, by pursuing a facially valid complaint before the Commission, was violating the Shipping Act’s prohibition at 46 U.S.C.

§ 41102(a) against obtaining or trying to obtain ocean transportation at less than applicable rates.

OOCL alleged that:

In this proceeding, and in other proceedings before the [Commission], commenced by SEA against other ocean carriers, SEA is attempting to recoup the demurrage, detention and other costs that have been rightfully charged to and incurred by SEA, from entities that were not legally responsible for the charges SEA incurred due to its own fault, acts and omissions.

In demanding refunds of charges imposed pursuant to the terms of the Service Contracts, and in demanding that OOCL waive future lawful charges, and in bringing legal proceedings against OOCL and other ocean carriers in an attempt to seek recovery of demurrage, detention and other charges which have been properly assessed to SEA by virtue of its own acts and omissions, SEA has knowingly and willfully engaged in a unjust or unfair device or means to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply, all in violation of 46 U.S.C. §41102(a) of the Shipping Act.

[Doc. 19 at ¶¶ 41, 42]

ALJ Chintella dismissed the Original Counterclaim, concluding, *inter alia*, that SEA's filing of a legitimate complaint to challenge detention and demurrage charges cannot constitute fraud or an "unjust device" (Doc. 38 at 4). Although OOCL argued that its Original Counterclaim was not based on the theory that SEA's Complaint was an unjust or unfair device or means proscribed by the statute, ALJ Chintella showed that was exactly what the Original Counterclaim alleged (*Id.*).

He further concluded that OOCL's other allegations were irrelevant. He noted that under no circumstances could SEA somehow recoup the costs it paid to OOCL, through allegedly deceitful or dishonest actions (Doc. 38 at 5). Rather, he explained, if SEA recoups the challenged demurrage and detention payments, it can only do so if the Commission determines that OOCL's charges were unreasonable or otherwise violated the Shipping Act. Alternatively, if SEA does not prevail on its Complaint, then it will not obtain reparations, and will not have obtained ocean transportation at less than applicable rates (*Id.*).

b. The Commission's Order Affirming Dismissal of the Original Counterclaim

On appeal, OOCL argued that its Original Counterclaim extended to SEA's earlier demands for refunds of overcharges and an alleged (albeit unspecified) demand for waiver of future charges (*See* Doc. 66 at 2). OOCL further argued that "the heart of its counterclaim is that SEA and its parent Samsung Electronics Company Ltd. ["SEC"] [pursued] a secret plan to wrongly disclaim responsibility for the type of delays at issue" (*Id.*).

The Commission readily affirmed the ALJ's Order dismissing the Original Counterclaim. The Commission agreed that pursuing a facially valid complaint before the Commission could not be an "unjust or unfair device or means" or an effort to obtain less than applicable rates under the statute (Doc. 66 at 2, 8, 11). The Commission further held that making requests for refunds, as alleged, also cannot support a claim under § 41102(a) (Doc. 66 at 2, 15-16.).

With regards to OOCL's allegations of deception in the making and performance of service contracts as set forth in its appeal, the Commission noted that the Counterclaim did not make such an allegation, but even if it had done so, such a scenario states only a disagreement about legal matters, not any fact-based deception as required to state a claim under § 41102(a) (Doc. 66 at 3).

The Commission emphasized that a claim under § 41102(a) requires some kind of factual deception or misrepresentation inducing a carrier to carry or release cargo (Doc. 66 at 18).

Applying that principle, the Commission rejected OOCL's far-fetched allegation that:

SEA had a secret plan to get lower rates by making a type of service contract under which it would be legally responsible for the type of delays at issue. Then, under this alleged plan, SEA would evidently cause or at least permit such delays to occur, and even pay OOCL the resulting late fees, but would later demand unjustified refunds based on the incorrect claim that OOCL was responsible for the delays. [Doc. 66 at 18.]

The Commission noted that such an implausible scenario would be essentially a disagreement about legal matters, which does not support a § 41102(a) claim (Doc. 66 at 19).

Nevertheless, the Commission allowed OOCL leave to amend, noting that leave to amend should be freely given. However, the Commission expressed skepticism whether OOCL could present a plausible claim on the grounds it had articulated in connection with its appeal, stating “it is not evident that the additional conduct OOCL has described would present a plausible claim under section 41102(a)” (Doc. 66 at 21).

3. *The Amended Counterclaim*

OOCL’s Amended Counterclaim (Doc. 69), while inserting some additional language, is in substance no different from the Original Counterclaim that the Commission previously rejected. The additional allegations are not material to the issues presented, and like the bulk of the allegations carried over from the Original Counterclaim, consist mostly of unsupported summaries of service agreements, allegations against third-party SEC, and conclusory speculation as to the knowledge and motives of SEA and SEC.

OOCL alleges that SEC negotiated service agreements on behalf of itself and certain affiliates, including SEA. OOCL further alleges that under the service agreements, SEA¹ was responsible for demurrage and detention charges, unless the charges resulted directly from delays that were the fault of OOCL, notwithstanding the store-door terms (*Id.* at ¶ 30). OOCL’s Amended Counterclaim continues on to allege that SEA deliberately concealed its understanding that the service agreements did not assign responsibility to SEA for delays not the fault of OOCL and alleges that SEA’s concealment of its different view of the terms of the service agreement caused OOCL to offer lower rates (*Id.* at 33).

¹ While the Amended Counterclaim includes allegations against both SEA and SEC; because this Motion is concerned solely with the Amended Counterclaim against SEA, the companion allegations against SEC will be disregarded, except as noted below.

As was the case with the Original Counterclaim, the sole count of OOCL's Amended Counterclaim is an alleged violation of 46 U.S.C. § 41102(a). The "unjust or unfair device or means to obtain ocean transportation for property at less than the rates or charges that would otherwise apply" that OOCL alleges that SEA committed was to demand refunds of charges that OOCL contends were imposed pursuant to the service agreements (Doc. 69 at ¶ 65). However, OOCL concedes that it did not make the requested refunds and SEA therefore brought its dispute over the requested refunds to the Commission (Doc. 69 at ¶¶ 37-43).

OOCL also alleges that SEA demanded waiver of future lawful charges but provides no factual allegation to identify any such demand.

LEGAL STANDARD

1. *Standard for a Motion to Dismiss*

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for Motions to Dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules to the extent that the application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12.

"In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal case-law interpreting it." *Cornell v. Princess Cruise Lines, Ltd.*, FMC Dkt. No. 13-02, 2014 WL 5316340 at *6 (FMC Aug. 28, 2014) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008 at *11 (FMC, Aug. 1, 2011)); *see also MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, FMC Dkt. No. 16-16, 2020 WL 6445041 at *5 (FMC, Oct. 29, 2020) (stating that the Commission looks to Rule 12(b)(6) when considering dismissals for failure to state a claim). The Commission ruled in *Mitsui* that:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). ... The complaint must be sufficient to “give the defendant fair notice of what the ... claim is and the grounds upon which it rests.” *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); see also 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* §1215 (3d ed. 2010) (“[T]he test of a complaint’s sufficiency simply is whether the document’s allegations are detailed and informative enough to enable the defendant to respond.”).

Mitsui, 2011 WL 7144008 at *12. Thus, a “pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (citing *Twombly*, 550 U.S. at 555). And “[t]he Commission need not ...accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint. Moreover, the Commission need not accept legal conclusions cast in the form of factual allegations.” *Cornell*, 2014 WL 5316340 at *7.

2. Standard for a Claim under 46 U.S.C. § 41102(a)

Section 41102(a), titled “Obtaining Transportation at Less Than Applicable Rates,” provides that:

A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.

46 U.S.C. § 41102(a).

As discussed in the Commission’s recent Order affirming the dismissal of the Original Counterclaim in this matter, the elements of a claim under § 41102(a) are:

that a person: (1) knowingly and willfully, (2) directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, (3) obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.

Samsung Electronics America, Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited, 2025 WL 2207363, at *5 (FMC Jul. 30, 2025) (Doc. 69 in this matter) (citing to *Rana v. Franklin*, 2022 WL 1744905, at *1 (FMC May 7, 2022)).

The Commission has also noted that its interpretative regulation at 46 C.F.R. § 545.2 provides that:

An essential element of [a violation of 46 U.S.C. § 41102(a)] is use of an “unjust or unfair device or means.” In the absence of evidence of bad faith or deceit, the Federal Maritime Commission will not infer an “unjust or unfair device or means” from the failure of a shipper to pay ocean freight. An “unjust or unfair device or means” could be inferred where a shipper, in bad faith, induced the carrier to relinquish its possessory lien on the cargo and to transport the cargo without prepayment by the shipper of the applicable freight charges.

Thus, “the critical “unjust or unfair device or means” element of section 41102(a) requires conduct that involves fraud or concealment as to a factual matter.” *Samsung, supra*, at *5. If a claimant alleges some unfair device other than the examples set out in the statute (i.e., false billing, false classification, false weighing, false report of weight, or false measurement), “some type of ‘fraud or concealment’ comparable to those examples is required.” *Id.*

ARGUMENT

In all material aspects, OOCL’s Amended Counterclaim is the same as the Original Counterclaim, the dismissal of which was affirmed by the Commission. While the Amended Counterclaim has dropped the explicit reference to SEA’s initiation of a Complaint to the Commission as an allegedly “unjust or unfair device,” the Amended Complaint still bases its § 41102(a) claim on SEA’s demand for a refund of demurrage and detention charges that SEA contends were extorted by OOCL in violation of the Shipping Act, and on SEA’s bringing of that demand to the Commission for resolution (*see* Doc. 69 at ¶¶ 37-43). That demand is in SEA’s Complaint before the Commission; and it is no more a violation of § 41102(a) now than it was when the Commission affirmed the dismissal of the Original Counterclaim.

1. OOCL Does Not Sufficiently Allege Knowing and Willful Wrongful Conduct by SEA

The first element of §41102(a) is a knowing and willful violation of the prohibitions of the section. As noted by the Commission in its earlier Order, “establishing a knowing and willful violation requires, in essence, a showing that the party knew the factual conduct that constituted the violation and acted either intentionally or with reckless disregard or indifference to the law’s requirements.” *Samsung, supra*, at *8 (citing to *Rana*, 2022 WL 1744905, at *8).

OOCL does not allege any knowing or willful wrongful conduct by SEA in connection with SEA obtaining or attempting to obtain ocean transportation from OOCL beyond its formulaic recitation of the elements of the offense. OOCL merely alleges that SEA demanded refunds of demurrage and detention charges that SEA was compelled to pay despite being the consignee of shipments carried by OOCL on store-door shipment terms, and states that when OOCL declined to refund those charges, SEA brought its complaint to the Commission (Doc. 69 at ¶¶ 37-43, 65, 67). OOCL also makes a conclusory allegation that SEA has demanded that OOCL waive future such charges, but OOCL’s Amended Counterclaim lacks any specific factual allegations of any such demand (*Id.* at ¶¶ 65 & 67).

OOCL acknowledges that SEA was merely the consignee for shipments (*Id.* at ¶¶ 20, 21, 53), in connection with which SEA received invoices for charges incurred in the United States (*Id.* at ¶ 23), and that the charges incurred by SEA were for detention and demurrage. (*Id.* at ¶¶ 23, 37, 38, 39, 41, 42, 51-52, 58, 60-61). To the extent that OOCL now makes conclusory allegations that SEA failed to pay any invoices, any such invoices would have been for detention and demurrage – not ocean transportation. OOCL has not alleged otherwise.²

² OOCL has alleged for the first time in this matter, in ¶¶ 64 & 67 of the Amended Counterclaim, that SEA has refused to pay invoices. It is unclear how SEA would be “attempting to recoup demurrage, detention and other costs

The Amended Counterclaim itself acknowledges that SEA’s demand for reimbursement of demurrage and detention charges is based on SEA’s disagreement that those charges were properly assessed against it (*Id.* at ¶¶ 37, 67). Notably, although the Amended Complaint includes two instances of conclusory allegations that SEA refused to pay “lawful invoices,” or “lawful charges,” it does not contain a single factual allegation of any failure on the part of SEA to pay any specific invoice (*Id.*).

OOCL’s Amended Counterclaim is premised on allegations that SEA “rejected” specific terms of the applicable service agreements and failed to honor them (*Id.* at ¶ 33). Yet while OOCL summarizes its interpretation of the applicable service agreement and a part of an allegedly incorporated Tariff provision, the Counterclaim fails to provide either the original agreements or even the relevant provisions. Even if OOCL had included such provisions, an allegation that SEA “rejected” a particular term – i.e., that SEA disagreed with OOCL’s claimed interpretation of a particular term, does not constitute a sufficient factual allegation that SEA acted either intentionally or with reckless disregard or indifference to the law's requirements.

As held by the Commission in its affirmance of the dismissal of the Original Counterclaim, a disagreement about legal matters does not support a § 41102(a) claim (Doc. 66 at 19). Further, the fact that it is SEA itself that has brought the legal dispute to the Commission for adjudication demonstrates that SEA is not “[indifferent] to the law’s requirements,” but rather is looking affirmatively to the law for vindication against OOCL’s unjust and unlawful demurrage and detention charges.

that have been rightfully charged to and incurred by SEA” by refusing to pay invoices as alleged in those paragraphs. SEA is unaware of any such unpaid invoices, but to the extent any invoices from OOCL to SEA remain unpaid, they would *not* be for ocean transportation and would be encompassed within SEA’s Amended Complaint for reparations for unjust and unreasonable detention, demurrage, and related charges.

2. OOCL Does Not Adequately Allege any Unjust or Unfair Device or Means by SEA

a. OOCL's Allegations of "Concealment" Regarding Service Contracts Fail as a Matter of Law

The second element of a § 41102(a) claim requires factual allegations that the subject party used some unjust or unfair device or means, such as false billing, classification, measurements or report thereof to obtain ocean transportation at less than otherwise applicable rates. As noted above, if a claimant alleges some unfair device other than the examples set out in the statute, then "some type of 'fraud or concealment' comparable to those examples is required." *Samsung, supra*, at *5.

OOCL's Amended Counterclaim does not allege any false billing, false classification, false measurement or reporting of cargo, or any other fraud or concealment as to any factual matter by SEA, and does not identify any false statement or material omission tied to the execution or performance of the service contracts.

Under the Commission's regulatory interpretation of "unjust or unfair device or means" in connection with Section 41102(a), to make a sufficient allegation of "unjust or unfair device or means," a complainant must provide factual allegations establishing some element of fraud, concealment, or deceit. *Rana*, 2022 WL 1744905, at *8 ("To establish a violation of section 41102(a), 'fraud or concealment is a necessary ingredient in the proof of an unjust or unfair device or means.'") (quoting *U.S. v. Open Bulk Containers*, 727 F.2d 1061, 1064 (11th Cir. 1984)); see also *SeaFair USA LLC v. Sterling Container Line Ltd.*, FMC Dkt. No. 22-34, 2024 WL 1741926, at *10 (ALJ Apr. 15, 2024) (same); see also *Samsung Electronics America, Inc., v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*, Dkt. No. 24-17, 2025 WL 2207363 at *5-6 (FMC, Jul. 30, 2025) (confirming that the critical "unjust or unfair device or means" element of section 41102(a) requires conduct that involves fraud or concealment as to a factual matter and

that the Commission will not infer an “unjust or unfair device or means” from the failure of a shipper to pay ocean freight).

OOCL’s Amended Complaint, like the Original Complaint, alleges merely that SEA held a different understanding as to which party would bear responsibility for demurrage and detention fees in connection with store-door shipments. OOCL couches this allegation as SEA’s alleged concealment of its “position” (Doc. 69 at ¶ 31), “rejection of the specific terms they [referring to third-party SEC] negotiated” (*Id.* at ¶33) and “rejection of the clear provisions” (*Id.* at ¶ 66) of the Service Contracts. Yet OOCL does not identify any false statement or material omission tied to the execution or performance of the service contracts that would substantiate its allegation of deception by SEA. Alleging that SEA somehow secretly “rejected” negotiated terms for a service contract that it was not involved in negotiating is patently absurd, but in any event fails to constitute a factual allegation of any unjust or unfair device.

Additionally, while OOCL has amended its counterclaim to mention SEA when it references Samsung Electronics Company, Ltd., the Amended Counterclaim makes clear that SEA was not involved in the non-contractual Request for Quotations to which OOCL submitted proposals (*Id.* at ¶¶ 8-12, 27), or the execution of the service contracts (*Id.* at ¶¶ 12, 14, 17, 18, 66), or the instructions with respect to the ocean transportation of cargo (*Id.* at ¶¶ 20, 21, 23). Yet OOCL nevertheless mentions SEA when referencing the negotiation of the service contracts (*see Id.* at ¶¶ 46, 59, 66), which runs counter to the factual allegations earlier in the Amended Complaint (*Id.* at ¶ 8, 10, 12, 20).

Even viewing OOCL’s allegations in the most favorable light, OOCL has merely alleged a contractual dispute; not concealment or fraud. Neither the Shipping Act nor the service contract between SEC and OOCL impose a duty requiring a contracting party to announce that it

may later disagree with the interpretation or application of contractual terms; and OOCL cites no authority for such an unlikely obligation. A party's decision to pursue statutory remedies under the Shipping Act does not transform a difference of position with respect to contractual terms into an act of concealment. Indeed, the Commission held as much in its Order affirming dismissal of the original Counterclaim (Doc. 66 at 18-19.).

In sum, OOCL's amended complaint seeks to repackage a good-faith disagreement over service contract interpretation – which SEA has brought to the Commission for adjudication – into a claim of fraud and/or concealment. It is clearly not fraud, and as the Commission has already confirmed in its Order of less than a month ago, it cannot constitute an “unjust or unfair device” under § 41102(a).

b. The Commission Has Already Held that Filing a Facially Valid FMC Complaint Cannot Constitute “Unjust or Unfair Device or Means” Under Section 41102(a)

The Commission's July 30, 2025 Order affirming dismissal of Respondents' original counterclaim could not have been clearer: SEA's initiation of a facially valid Complaint proceeding is not, and cannot be, an “unjust or unfair device or means” under 46 U.S.C. § 41102(a) (Doc. 66 at pp. 2, 11). The Commission, ruling on OOCL's appeal of its original counterclaim's dismissal, explained that Section 41102(a) requires fraud or concealment, and that “simply pursuing a facially valid FMC case, as SEA had done here, cannot constitute an ‘unfair device’ or an effort to obtain less than applicable rates under the statute” (*Id.* at pp 2, 11).

OOCL's Amended Counterclaim does nothing to rectify that core deficiency. The Amended Counterclaim's paragraphs 64 and 65 are nearly identical to the original counterclaim's paragraphs 41 and 42, where OOCL alleged the “unjust or unfair” device of means of which it complains, and which the Commission unequivocally rejected as grounds for a § 41102(a) claim. (Doc No. 66 at 11).

However, OOCL still relies on the same central allegation — that SEA’s pursuit of this case, and its demands for relief, amount to an unfair device. OOCL’s “amendments” do not allege new facts showing fraud, concealment, or deceit; and they cannot rightfully do so. SEA has been open, straightforward, and clear about its disagreement with OOCL’s demurrage and detention charges.

On a more practical, direct level, OOCL’s theory is fundamentally unsound. OOCL’s Amended Counterclaim proposes that any disagreement over legal responsibility for invoices or refunds, or over the interpretation of a service contract, may be brought before the Commission as a potential violation of the Shipping Act. Accepting OOCL’s interpretation would contradict the plain language of 46 U.S.C § 41102(a), which expressly targets fraudulent or deceptive practices, and would chill legitimate reparations claims. Section 41102(a) is not a catch-all mechanism for penalizing parties who pursue billing disputes.

In recycling a claim that the ALJ and Commission have already found legally untenable, OOCL’s repetition demonstrates disregard of the Commission’s ruling and should be dismissed with prejudice.

c. *OOCL’s Claim Fails to Meet the Commission’s Pleading Standard*

Further, the “bare-bones allegations” in OOCL’s Amended Complaint do not meet the Commission’s pleading requirements. (*See* Doc. 66 at 15-19) The Commission provided guidance with respect to a Section 41102(a) claim and 46 C.F.R. § 545.2, stating:

An essential element of the offense is use of an “unjust or unfair device or means.” In the absence of evidence of bad faith or deceit, the Federal Maritime Commission will not infer an “unjust or unfair device or means” from the failure of a shipper to pay ocean freight. An “unjust or unfair device or means” could be inferred where a shipper, in bad faith, induced the carrier to relinquish its possessory lien on the cargo and to transport the cargo without prepayment by the shipper of the applicable freight charges.

The Commission elaborated that the critical “unjust or unfair device or means” element of Section 41102(a) requires conduct that involves fraud or concealment as to a factual matter. OOCL has not alleged any fraud or concealment as to a factual matter but has instead relied upon vague conclusory statements.

The substance of OOCL’s “unfair and unjust device” allegation is that SEA somehow secretly concealed its position with respect to a Service Contract that it did not negotiate or sign (Doc. 69 at ¶¶ 31, 33, 66) and that SEA’s subsequent demand before the Commission as a consignee seeking reparations for unreasonable and unjust demurrage and detention charges somehow equates to fraud (*Id.* at ¶¶ 65, 67).

OOCL alleges no facts to support any of its allegations of fraud or concealment. OOCL does not identify any contractual provision that SEA misrepresented, nor the time, place, or manner of any alleged misstatement. OOCL’s allegations do not specify what SEA said or concealed regarding the contracts, who at SEA made any statement, when or where such statement was made, how OOCL relied on any purported misrepresentation, or any reliance caused by any such deception.

The Commission noted that OOCL’s argument that SEA concealed its interpretation of the service agreement³ does not present the kind of fraud or concealment required to allege an “unfair device” under section 41102(a) as such allegations lack the factual deception or misrepresentation that would induce a carrier to carry or release cargo (Doc. 66 at 18-19). While OOCL’s Amended Counterclaim makes that allegation, it fails to make any factual allegations of actual deception or misrepresentation.

³ The Commission noted that OOCL made this argument in its Appeal Brief but did not make the allegations in its original Counterclaim.

In light of the Commission's ruling affirming the dismissal of the original Counterclaim and OOCL's failure again to state any allegations of factual deception by SEA, OOCL's Amended Counterclaim completely fails to meet the Commission's pleading requirements. Accordingly, OOCL's counterclaim must be dismissed with prejudice.

3. OOCL Fails to Allege the Element of Ocean Transportation

While the foregoing is more than sufficient to dismiss the Amended Counterclaim, SEA notes that OOCL has also failed to allege that SEA obtained or tried to obtain ocean transportation for less than the rates or charges that would normally apply.

Specifically, OOCL has not alleged that SEA shipped any cargo overseas, that SEA generated any bills of lading, that SEA was the owner of any cargo, that SEA obtained or attempted to obtain any ocean transportation, what rates should have been paid in connection with any cargo, or that SEA paid actual rates lower than such rates. Indeed, OOCL's Amended Counterclaim fails to make any factual allegation sufficient to show that SEA obtained ocean transportation, as needed to establish a claim under § 41102(a). *See, e.g., Dukart v. Ocean Star Int'l Inc. dba Int'l Van Lines*, 2 F.M.C.2d 118, 128 (ALJ July 10, 2020).

To the contrary, OOCL clearly concedes that SEA was the cargo consignee, not the owner or the shipper (Doc. 69 at ¶20), that SEA incurred detention and demurrage charges in connection with the receipt of the cargo (*id.* at ¶¶ 23, 37, 38, 39, 40, 42, 51, 52, 56, 58, 60, 61, 64), and that OOCL blames SEA and unnamed trucking companies for incurring those charges (*id.* at ¶¶ 25, 39-42, 51-58, 60-61). At no point does OOCL make any allegation that SEA attempted to obtain, or actually obtained, any ocean transportation; nor does OOCL describe any manner in which SEA would be deemed to have done so.

The obvious lack of factual allegations supporting its claim that SEA violated § 41102(a) by "knowingly and willfully, directly or indirectly, by... unjust or unfair device or means, obtain

or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply” is fatal to OOCL’s counterclaim. Simply put, OOCL’s Amended Counterclaim lacks sufficient factual allegations to state any plausible claim under 46 U.S.C. § 41102(a).

CONCLUSION

As shown above, OOCL’s decision to re-file essentially the same counterclaim – after the Commission’s explicit rejection of OOCL’s legally untenable position – demonstrates disregard for the Commission’s rulings and emphasizes the meritless and plainly frivolous nature of the Amended Counterclaim.

Despite the Commission’s clear prior ruling dismissing OOCL’s Original Counterclaim and expressly warning that any amendment must allege specific facts establishing fraud, concealment, or deception, OOCL reasserted the same legally deficient theory without adding any new factual support. By forcing SEA to relitigate an issue the Commission has already resolved, OOCL has needlessly multiplied these proceedings, delayed their resolution, and improperly increased SEA’s litigation costs.

Accordingly, pursuant to 46 C.F.R. §§ 502.69, 502.70, and 502.254, Complainant SEA respectfully moves for an Order dismissing with prejudice OOCL’s Amended Counterclaim in its entirety, and striking Respondents’ prayer for a cease-and-desist order and request for attorney fees, and further requests that the Order grant SEA its attorneys’ fees in connection with this Motion to Dismiss, and grant all such other and further relief as may be just and proper.

Dated: September 8, 2025

Respectfully Submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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